



Q: Is the government more confident now about a recovery in private sector capital investments?

A: I am optimistic that there will be a recovery in private capital investment. Am I confident? I wouldn't say so because I don't know enough. This depends on the investment intentions of the private sector. I only get secondary and second-hand information on this. But I am told by industry bodies and chambers that yes, there's going to be an upswing in private capital investment. And I hope that what they say is true.

Q: The fiscal consolidation road map in the Interim Budget seems to have made rating agencies quite happy. Do you think this is the right time for India to maybe pitch for a ratings upgrade?

A: I don't think that India should seek any ratings

upgrade on the basis of these figures. I think the rating agencies have a job to do. If we are performing better, it is for them to reassess whether we should be rated differently or not. I personally am not very sanguine about the way rating agencies rate developing countries or emerging market economies... I think there are differential or double standards between different groups of countries. India is not in global G20 terms a very highly indebted country. Also, our debt dynamics are pretty favourable because we have high nominal GDP growth, which is going to be sustained for a long period of time. The interest rate versus growth rate differential is also fairly favourable to us, compared to many other economies, whose growth rates are lower and whose interest rates now are not very different from our interest [rate]. There was a time when developed country interest rates were very low and one could argue that they had high debt. But it doesn't mat-